

JAPAN SHIPBUILDING

Abundant catalysts to buoy the medium-term earnings outlook, we remain bullish on sector stocks

We summarize our overall view on Japan's shipbuilding industry, upcoming catalysts to watch, business trends at select non-covered (NC) companies, and the implications for our coverage companies Namura Shipbuilding, Mitsui E&S, and Tokyo Keiki. Key points are as follows.

Norihiro Miyazaki
+81(3)4587-9842 |
norihiro.miyazaki@gs.com
Goldman Sachs Japan Co., Ltd.

Ryohei Kurita
+81(3)4587-1799 |
ryohei.kurita@gs.com
Goldman Sachs Japan Co., Ltd.

- **Current conditions in Japan's shipbuilding industry:** The order backlog as of end-May 2026 disclosed by the Japan Ship Exporters' Association was 29.27 mn GT, meaning the industry has already secured vessel demand scheduled for delivery over the next three and a half years. The backlog remains at a historically high level. Cumulative order volume for Jan-May 2026 was 3.6 mn GT (-2% yoy). We focus on the following two industry trends as potential catalysts.

- **(1) Potential for order backlog expansion via capacity enhancements:**
In late February 2026, the Maritime Bureau of the Ministry of Land, Infrastructure, Transport and Tourism (MLIT) announced revisions to its shipbuilding-related policy initiatives. The Bureau is starting a framework for capacity enhancement, and said operators must have plans to expand capacity by 50% or more from 2024 levels to be eligible for support from the Shipbuilding Industry Revitalization Fund (¥350 bn over 10 years). Japan's Cabinet is scheduled to approve a growth strategy targeting 17 strategic sectors, including shipbuilding, in around summer 2026, after which we think the focus will be on whether Namura Shipbuilding and other major shipbuilders will utilize the revitalization fund. Although Japanese shipbuilders are currently operating at full capacity, **if we see an expansion in order volume (and order backlog) that factors in future capacity enhancements, we believe it will be a catalyst for raising the earnings growth outlook and valuations for names in our sector coverage.**
- **(2) Emergence of defense demand:** We see several potential catalysts ahead that could underpin expectations for a further expansion in domestic and international defense demand, including the Basic Policy on Economic and Fiscal Management and Reform 2026 (July), a Defense White Paper (July), the revision of Japan's three strategic security

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documents (by end-2026), and the US defense budget for FY2027. Regarding the US defense budget, **media reports have said the US may allocate c.US\$1.85 bn to procuring naval vessels utilizing shipyards in Japan or South Korea**. If orders are placed in Japan, our coverage company **Tokyo Keiki could benefit as a naval vessel component supplier**. We believe the **theme of growing demand for Japanese and US naval vessel repairs remains intact for Namura Shipbuilding's ship repair/maintenance business** as well.

- **Global shipbuilding industry order trends:** In response to the recent situation in Iran, freight rates have been surging on the back of longer transportation distances accompanying alternative procurement, leading to a strong demand environment, particularly for crude oil tankers. Recent new vessel prices remain at historically high levels.
- **Trends at NC companies: Japan Engine** expects steady sales and profit growth in FY3/27, driven by a rise in license revenue accompanying capacity enhancement by Chinese engine manufacturers that occurred from 3Q3/26 onwards (although earnings are set to be heavily weighted toward 2H due to the timing of internal combustion engine deliveries). **Furuno Electric** reported strong sales to European shipping companies and Asian shipbuilders (especially in China), and in its defense-related business, the company confirmed potential for margin improvement backed by utilization of existing commercial products. **Chugoku Marine Paints** noted it expects an earnings impact from the rise in costs for inputs (cuprous oxide and epoxy resin) since the beginning of the year, mainly affecting sales to South Korean shipbuilders where a surcharge system has not been introduced. **Daihatsu Infinearth** expects sales and profit growth in FY3/27 amid stronger demand on the back of increased container ship production and the startup of a new plant. Meanwhile, regarding internal combustion engines for use at data centers, the company indicated it anticipates no short-term earnings impact; while it supplies gas turbines, which are highly space-efficient and adopted in urban data centers, it does not handle the high-output diesel engines that are currently expected to see demand expansion.
- **We reiterate our Buy rating on Namura Shipbuilding/Mitsui E&S/Tokyo Keiki.** Many investors we speak with express caution on the sector, given the shift in investor funds toward the generative AI theme. **Fundamentally however, the earnings outlook is actually moving higher owing to both a favorable order environment and policy support, and we maintain our bullish stance on shipbuilding stocks in our coverage.** For **Namura Shipbuilding**, in addition to the potential utilization of the Shipbuilding Industry Revitalization Fund, we look for steady earnings growth in FY3/27, backed by a mix shift to large vessels, margins on which we believe are relatively high. For **Mitsui E&S**, while we view its guidance for a yoy decline in operating profits in FY3/27 as overly conservative given recent earnings trends, we assume that investors' confidence in upside to earnings guidance will increase from 2H3/27 onward, given the company's traditionally conservative stance. In the medium term, if capacity enhancements by Japanese shipbuilders move into full swing, we see potential for tightening supply/demand (i.e., unit price

improvement) in the domestic engine market, which is already operating at full capacity, and we are upbeat on the strong prospect for stronger margins at the company. We believe **Tokyo Keiki** is positioned to benefit from the overall upcycle in the global shipbuilding industry, in addition to the expansion of defense demand (especially O&M-related), which we expect to see domestic and overseas growth over the medium to long term.

- **Our estimate revisions:** For Namura Shipbuilding, we revise our operating profit forecasts for FY3/27-FY3/29 by +0.4%/+1.7%/-0.2%, reflecting recent shipbuilding progress. Our 12-month target price of ¥5,600 is unchanged. For Mitsui E&S, we revise our operating profit forecasts for FY3/27-FY3/29 by 0%/-5%/-4%, as we have lowered our expectations for the pace of profit improvement for peripheral services from FY3/28 onward, mainly based on recent earnings. Our SOTP-based 12-month target price is unchanged at ¥7,000. We leave our estimates for Tokyo Keiki intact, as the current business overview and outlook were already incorporated in our recent initiation report. We maintain our 12-month target price of ¥8,800 for Tokyo Keiki.

Exhibit 1: Overview of shipbuilders and related companies

	Namura Shipbuilding	Mitsui E&S	Furuno Electric	Tokyo Keiki	Daihatsu Infinearth	Japan Engine Corporation	Chugoku Marine Paints	Terasaki Electric
Ticker	7014.T	7003.T	6814.T	7721.T	6023.T	6016.T	4617.T	6637.T
Market cap (JPY bn)	255	431	189	107	70	71	185	44
ADTV (JPYbn; last 6 months)	7.2	32.3	3.7	2.6	0.5	2.3	1.5	0.3
Ship-related business overview								
Ship-related business (% of FY0 companywide OP)								
After-service business (% of FY0 companywide ship-related sales wherever applicable)*	13%	20%	c. 33% of the commercial ships segment	50%	46%	52%	47%	13%
Mainstay products	Shipbuilding (dry bulk and tanker), maintenance for vessels (commercial & naval)	Engine manufacturer specifically for Japanese shipbuilders; licensee from Everlence and WinGD.	Electronic chart display and information system (ECDIS)	Auto-pilot system and gyrocompass for vessels	Auxiliary engine to generate electricity for commercial vessels	UE engine manufacturer and licenser.	Painting & coating products for commercial and naval vessels.	Power distribution systems and engine monitoring systems for ships
Market share of those mainstay products (volume-based, FY25)	c. 7% in Japan	c. 60% in Japan	c. 40% globally	c. 60% globally	c. 45% in Japan and 25% globally	c. 10% in Japan and globally	c. 60% in Japan and 20% globally	c. 20-30% in Japan; c. 30% in China; up to 10% in South Korea
Impacts of key industry trends								
Demand for shipbuilding to shift from China to Japan	✓	✓	▲	▲	✓	✓	✓	▲
Price improvement in order backlog	✓	✓	▲	▲	▲	✓	✓	✓
Rising defense-related demand	✓	▲	✓	✓	▲	▲	✓	✓
Tighter emission controls in shipbuilding	▲	✓	▲	▲	✓	✓	✓	▲
Increase in # of active commercial vessels operating	▲	✓	✓	✓	✓	✓	✓	✓
Increase in own production capacity	▲	▲	▲	▲	✓	✓	▲	✓
✓=potentially positive to earnings, ▲ = likely neutral or limited impact								
Earnings summary								
Companywide sales (FY0, JPYmn)	159,035	353,196	140,616	61,186	88,066	29,707	139,364	62,859
Companywide operating profit (FY0, JPYmn)	28,085	37,641	16,246	5,362	7,621	5,458	17,437	6,197
OPM (FY0, %)	18%	11%	12%	9%	9%	18%	13%	10%

* Terasaki Electric's after-service share % is based on the FY24 number.

Notes: Based on closing prices as of June 23, 2026. The impacts of key industry trends are based on interviews with each company, except for Namura Shipbuilding, Mitsui E&S, and Tokyo Keiki. Note that we use FY24 figures for the sales mix of Terasaki Electric's ship-related after-sales services.

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

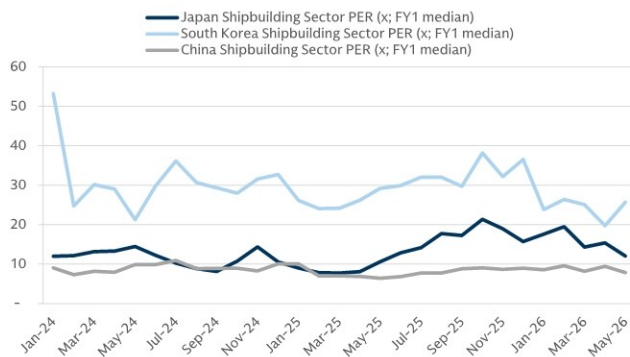
Exhibit 2: Valuations

		Market Cap	ADTV (6M)	PER			PBR	SP performance				Net Debt/Equity
		JPY bn	JPY bn	FY1	FY2	FY3	FY1	1M	3M	6M	1Y	FY0
Namura Shipbuilding	7014.T	267	7.2	12	11	8	1.7	1%	-23%	7%	41%	(0.36)
Mitsui E&S	7003.T	435	32.3	12	11	10	1.7	-6%	-35%	-20%	52%	0.08
Tokyo Keiki	7721.T	112	2.6	22	21	17	2.2	9%	-16%	29%	54%	0.16
Japan Engine Corporation*	6016.T	71	2.3	14	13	11	3.1	-7%	-36%	-29%	22%	(0.02)
Furuno Electric*	6814.T	189	3.7	14	13	12	1.9	2%	-8%	-18%	94%	(0.05)
Daihatsu Infiniearth*	6023.T	70	0.5	10	9	9	1.2	-10%	23%	6%	31%	(0.06)
Chugoku Marine Paints*	4617.T	185	1.5	13	12	N/A	1.7	8%	0%	-22%	46%	(0.13)
Terasaki Electric*	6637.T	44	0.3	9	8	8	0.7	-1%	-15%	-22%	3%	(0.21)
Median		148	2.5	13	12	10	1.7					

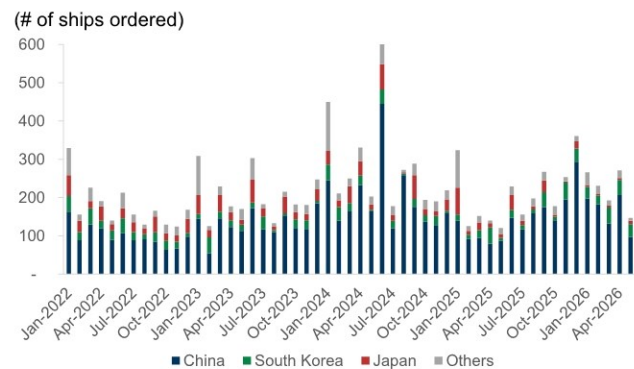
* Not Covered

Forward P/E and P/B for Namura Shipbuilding, Mitsui E&S, and TOKYO KEIKI are based on GS forecasts. All others are based on LSEG Data & Analytics consensus forecasts. We use closing prices on June 23, 2026.

Source: LSEG Data & Analytics, Goldman Sachs Global Investment Research

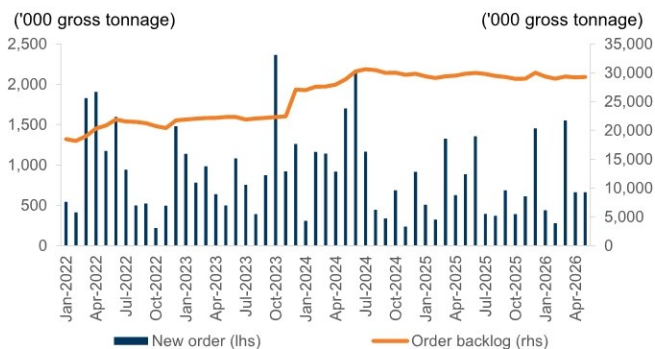
Exhibit 3: Monthly trend in P/E (FY1) for Japanese, South Korean, and Chinese shipbuilding sectors

Source: LSEG Data & Analytics, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: Monthly trend in global shipbuilding orders (vessel basis)

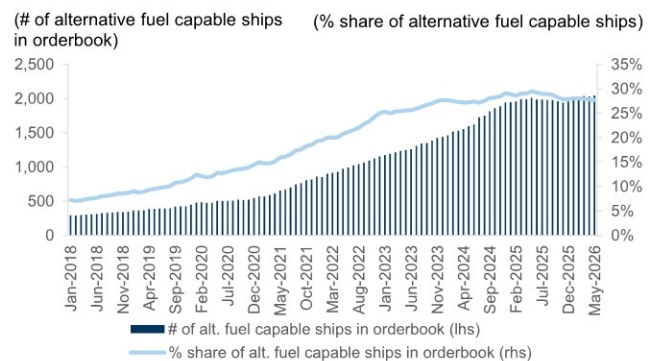
Figures for Japan are based on export ship contract data from the Japan Ship Exporters' Association. Data for other countries is from Clarksons.

Source: Clarksons, Japan Ship Exporters' Association, Data compiled by Goldman Sachs Global Investment Research

Exhibit 5: Monthly domestic order intake and order backlog (gross tonnage)

Note: We use combined figures for major member companies of the Japan Ship Exporters' Association

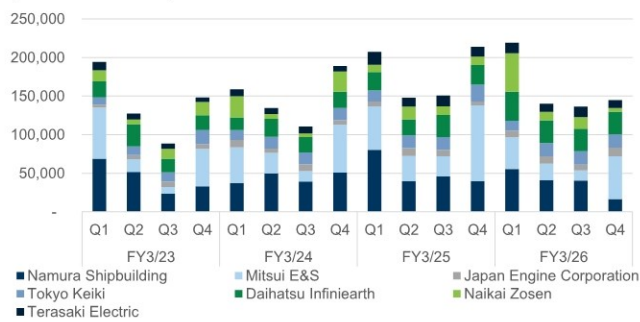
Source: Japan Ship Exporters' Association, Data compiled by Goldman Sachs Global Investment Research

Exhibit 6: Global order backlog for alternative fuel capable ships (number of vessels) and their share of total order backlog

Source: Clarksons, Data compiled by Goldman Sachs Global Investment Research

Exhibit 7: Quarterly orders at Japanese shipbuilders and related companies

(New orders, JPY mn)

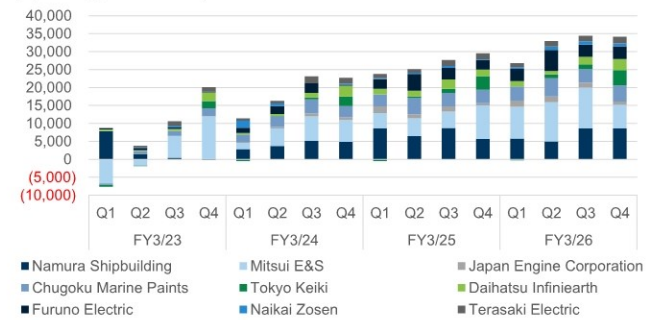


Namura Shipbuilding data is calculated from the QoQ difference in the order backlog of the new shipbuilding business (while also adding back sales from the corresponding quarter).

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

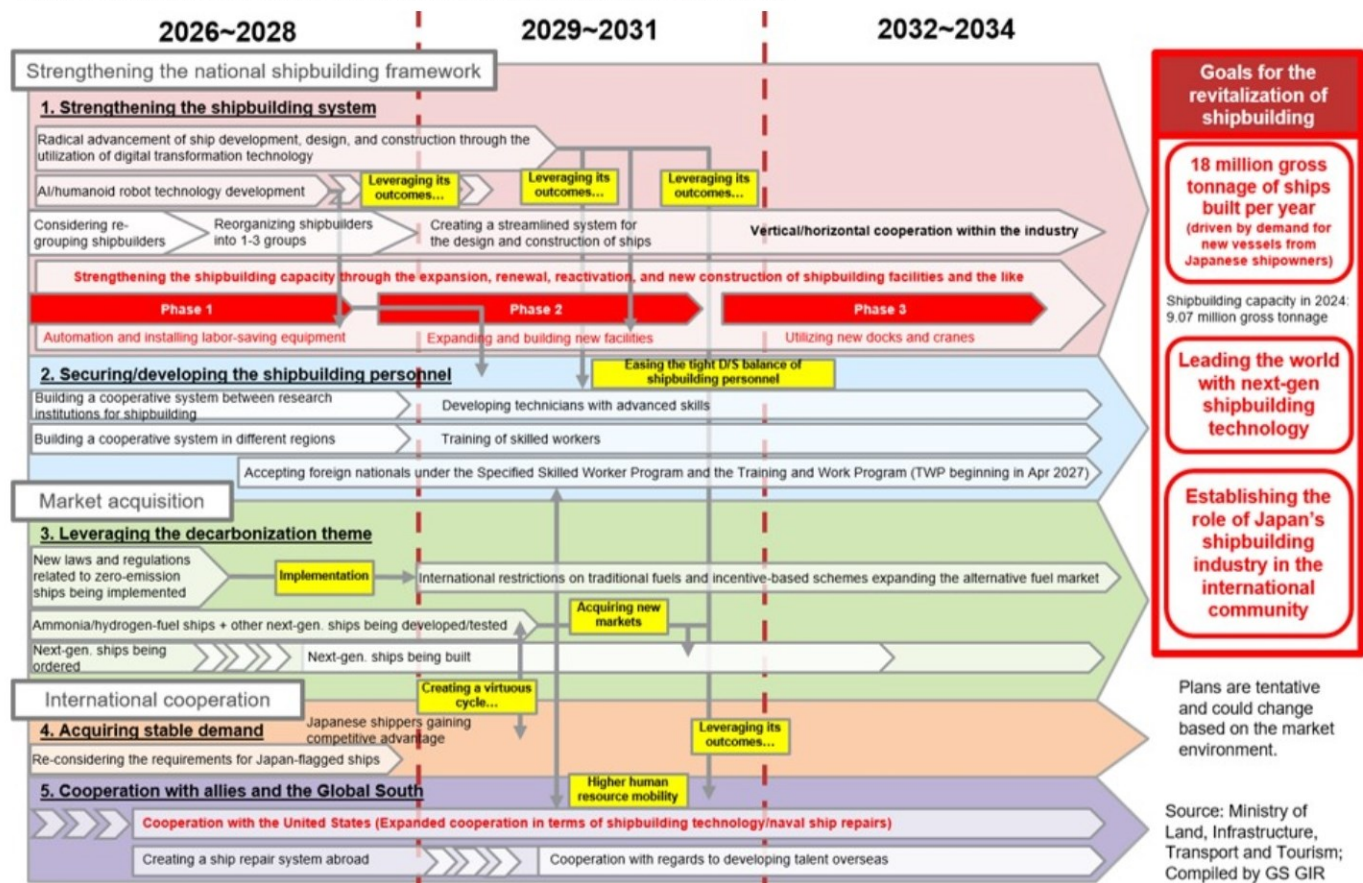
Exhibit 8: Quarterly operating profits for Japanese shipbuilding-related companies

(Operating profit, JPY mn)



Furuno Electric's FY-end is February

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 9: Road map for revitalization of Japan's shipbuilding industry

Source: Ministry of Land, Infrastructure, Transport and Tourism, Data compiled by Goldman Sachs Global Investment Research

Exhibit 10: Namura Shipbuilding: Earnings summary

Namura Shipbuilding Co Ltd		26/3 1Q	26/3 2Q	26/3 3Q	26/3 4Q	27/3 1Q	27/3 2Q	27/3 3Q	27/3 4Q	3/2025	3/2026	3/2027E	3/2028E	3/2029E	3/2030E	3/2031E	3/2027E
		A	A	A	A	GSe	GSe	GSe	GSe	A	A	GSe	GSe	GSe	GSe	GSe	CoE
Revenue	JPYmn	36,487	36,123	42,693	43,732	43,305	39,895	44,824	43,920	159,227	159,035	171,944	184,064	204,484	232,884	267,854	170,000
YoY	%	-8%	-6%	1%	14%	19%	10%	5%	0%	18%	0%	8%	7%	11%	14%	15%	7%
Gross profit	JPYmn	7,527	6,987	10,617	11,047	9,530	8,780	11,210	9,744	36,308	36,178	39,264	46,014	57,534	71,774	88,394	
YoY	%	-26%	-14%	3%	4%	27%	26%	6%	-12%	58%	0%	9%	17%	25%	23%	23%	
GPM	%	21%	19%	25%	25%	22%	22%	25%	22%	23%	23%	23%	25%	28%	31%	33%	
Operating profit	JPYmn	5,758	5,014	8,708	8,605	7,430	6,530	9,060	6,834	29,466	28,085	29,854	35,474	45,974	59,094	74,494	29,000
YoY	%	-33%	-23%	0%	52%	29%	30%	4%	-21%	79%	-5%	6%	19%	30%	29%	26%	3%
OPM	%	16%	14%	20%	20%	17%	16%	20%	16%	19%	18%	17%	19%	22%	25%	28%	17%
SG&A	JPYmn	1,769	1,973	1,909	2,442	2,100	2,250	2,150	2,910	6,842	8,093	9,410	10,540	11,560	12,680	13,900	
YoY	%	19%	21%	18%	16%	19%	14%	13%	19%	6%	18%	16%	12%	10%	10%	10%	
Details for new shipbuilding segment																	
Sales	JPYmn	29,374	28,423	33,326	34,520	34,310	31,890	35,260	34,690	122,877	125,643	136,150	147,670	167,490	195,290	229,660	
YoY	%	-9%	-5%	3%	22%	17%	12%	6%	0%	19%	2%	8%	8%	13%	17%	18%	
Order backlog	JPYmn	420,113	432,742	440,091	422,073	451,496	465,104	473,550	456,095	394,070	422,073	456,095	492,466	527,808	556,059	572,763	
YoY	%	17%	17%	15%	7%	7%	7%	8%	27%	7%	7%	8%	8%	7%	5%	3%	
vs. sales	x	2.9	3.0	2.6	2.4	2.6	2.9	2.6	2.6	2.5	2.7	2.7	2.7	2.6	2.4	2.1	
New orders (GSe)*	JPYmn	55,417	41,052	40,675	16,502	63,733	45,498	43,706	17,235	201,561	153,646	170,172	184,041	202,832	223,541	246,364	
YoY	%	-31%	4%	-12%	-59%	15%	11%	7%	4%	39%	-24%	11%	8%	10%	10%	10%	
Number of new ships ordered	#	5	5	3	2	5	5	3	2	22							
YoY	%	-44%	25%	0%	-67%	2%	2%	2%	-12%								
Implied value per ship ordered	JPYmn	11,083	8,210	13,558	8,251	12,497	8,921	14,283	8,449	9,162							
YoY	%	24%	-17%	-12%	24%	13%	9%	5%	2%	58%							
Order backlog (current term) - order backlog (previous term) + Sales (current term)																	
Details for maintenance segment																	
Sales	JPYmn	4,118	4,715	6,103	5,602	6,000	5,020	6,300	5,620	23,041	20,538	22,940	23,540	24,140	24,740	25,340	
YoY	%	-9%	-18%	-10%	-6%	46%	6%	3%	0%	21%	-11%	12%	3%	3%	2%	2%	
OP	JPYmn	530	182	584	271					3,636	1,567	1,700	1,720	1,740	1,760	1,780	
YoY	%	-81%	-81%	-54%	-65%					108%	-57%	8%	1%	1%	1%	1%	
Order backlog	JPYmn	7,158	9,875	12,057	10,226					5,324							
YoY	%	-46%	-3%	43%	92%					-50%							
Financial metrics																	
RoE	%									28%	18%	16%	15%	18%	22%	26%	
RoA	%									15%	10%	9%	9%	10%	12%	14%	
Equity-to-total assets	%									50%	52%	54%	56%	53%	52%	52%	
Net-debt (ex. contract liability)	JPYmn									(31,093)	(43,346)	(53,569)	(66,290)	(74,430)	(89,885)	(113,880)	
Net-debt / equity (ex. contract liability)	x									(0.30)	(0.32)	(0.34)	(0.38)	(0.42)	(0.48)	(0.54)	
CF from operating activities	JPYmn									37,727	38,847	27,781	30,954	36,763	43,560	51,559	
CF from investing activities	JPYmn									(5,258)	(6,810)	(8,800)	(8,800)	(5,800)	(5,800)	(5,800)	
FCF	JPYmn									32,469	29,037	18,981	22,154	30,963	37,760	45,759	
CF from financing activities	JPYmn									2,287	(500)	(4,169)	(4,516)	(18,045)	(18,486)	(19,506)	
DPS	JPY/share									50	50	60	65	90	100	120	
Payout ratio	%									16%	18%	18%	19%	16%	11%	18%	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: Mitsui E&S: Earnings summary

Mitsui E&S		26/3 1Q	26/3 2Q	26/3 3Q	26/3 4Q	27/3 1Q	27/3 2Q	27/3 3Q	27/3 4Q	3/2025	3/2026	3/2027E	3/2028E	3/2029E	3/2030E	3/2031E	3/2027E	3/2028E	3/2029E
		A	A	A	A	GSe	GSe	GSe	GSe	A	A	GSe	GSe	GSe	GSe	GSe	CoE	CoE	MTF
Revenue	JPYmn	81,151	84,397	87,635	100,013	91,046	90,320	99,752	91,341	315,112	353,196	372,459	397,267	433,499	472,398	506,962	340,000	370,000	410,000
YoY	%	16%	13%	19%	4%	12%	7%	14%	-9%	4%	12%	8%	7%	9%	9%	7%	8%	5%	11%
Operating profit	JPYmn	8,886	10,905	11,315	6,525	9,399	11,960	11,505	9,284	23,130	37,641	42,148	46,998	57,578	67,505	77,515	35,000	32,000	38,000
YoY	%	107%	122%	149%	-30%	6%	10%	2%	42%	18%	63%	12%	12%	23%	17%	15%	51%	-15%	19%
OPM	%	11%	13%	13%	7%	10%	13%	12%	10%	7%	11%	11%	12%	13%	14%	15%	10%	9%	10%
Net Income	JPYmn	7,214	10,317	7,852	13,073	7,314	10,747	9,351	7,537	39,075	38,456	34,949	38,292	45,642	52,524	59,422	31,000	30,000	
YoY	%	-75%	196%	170%	237%	1%	4%	19%	-42%	56%	-2%	-9%	10%	19%	15%	13%	-21%	-22%	
Marine propulsion systems segment																			
Sales	JPYmn	38,008	37,139	34,514	40,076	41,650	43,394	42,610	32,661	135,506	149,737	160,315	172,920	197,783	223,911	246,918	150,000	160,000	
YoY	%	16%	7%	10%	9%	10%	17%	23%	-19%	11%	11%	7%	8%	14%	13%	10%	11%	7%	
Number of new engine produced	#	36	31	29	36	37	34	34	25	141	132	130	136	146	158	166			
YoY	%	-5%	-16%	-12%	9%	3%	10%	17%	-31%	-8%	-6%	-2%	5%	8%	8%	5%			
Revenue/engine produced	JPYmn	1,056	1,198	1,190	1,113	1,126	1,276	1,253	1,306	961	1,134	1,233	1,271	1,350	1,418	1,487			
YoY	%	22%	28%	25%	0%	7%	7%	5%	17%	18%	9%	8%	5%	5%	5%	5%			
Order backlog	JPYmn	163,806	148,067	126,872	142,295	145,487	132,093	109,483	161,346	161,819	142,295	161,346	192,356	224,082	252,619	280,035			
YoY	%	52%	39%	26%	-12%	-11%	-11%	-14%	13%	92%	-12%	13%	19%	16%	13%	11%			
vs. sales	x	4.31	3.99	3.68	3.55	3.49	3.04	2.57	4.94	1.19	0.95	1.01	1.11	1.13	1.13	1.13			
New orders	JPYmn	41,335	21,437	12,820	55,459	44,842	30,090	20,000	84,524	212,932	131,051	179,366	203,930	228,509	252,448	274,334	120,000	170,000	
YoY	%	-27%	-35%	-50%	-43%	8%	40%	56%	52%	44%	-38%	37%	14%	13%	10%	9%	-44%	30%	
Number of new engine ordered	#	37	9	3	57	47	19	13	67	175	106	146	156	168	176	182			
YoY	%	-12%	-55%	-84%	-39%	27%	11%	333%	18%	6%	-39%	38%	7%	7%	5%	3%			
Order/engine produced	JPYmn	1,117	2,382	4,273	973	954	1,579	1,538	1,262	1,217	1,236	1,229	1,304	1,368	1,434	1,507			
YoY	%	-17%	45%	217%	-7%	-15%	-34%	-64%	30%	36%	2%	-1%	6%	5%	5%	5%			
Segment profit	JPYmn	4,116	4,849	4,218	1,291	4,795	5,605	4,780	1,651	7,476	14,474	16,831	18,564	26,757	34,499	42,028	14,500	12,000	
YoY	%	69%	168%	118%	-1%	16%	16%	13%	28%	16%	94%	16%	10%	44%	29%	22%	94%	-17%	
OPM	%	11%	13%	12%	3%	12%	13%	11%	5%	6%	10%	10%	11%	14%	16%	17%	10%	8%	
Logistics system segment																			
Sales	JPYmn	15,858	15,219	14,510	19,598	16,096	16,826	16,042	21,180	62,767	65,185	70,144	79,447	90,416	100,587	112,144	65,000	70,000	
YoY	%	21%	11%	1%	-9%	2%	11%	11%	8%	32%	4%	8%	13%	14%	11%	11%	4%	7%	
Order backlog	JPYmn	99,197	97,028	96,009	97,726	99,630	100,804	102,762	98,682	95,884	97,726	98,682	101,373	99,057	94,570	85,226			
YoY	%	24%	7%	-5%	2%	0%	4%	7%	1%	18%	2%	1%	3%	-2%	-5%	-10%			
vs. sales	x	6.26	6.38	6.62	4.99	6.19	5.99	6.41	4.66	1.53	1.50	1.41	1.28	1.10	0.94	0.76			
New orders	JPYmn	20,946	11,874	12,998	20,740	18,000	18,000	18,000	17,100	76,112	66,558	71,100	81,800	88,100	96,100	102,800	60,000	65,000	
YoY	%	93%	-54%	-42%	22%	-14%	52%	38%	-18%	8%	-13%	7%	15%	8%	9%	7%	-21%	-2%	
Segment profit	JPYmn	2,929	3,773	3,411	3,816	2,593	3,712	3,323	3,667	9,954	13,939	13,294	15,434	17,721	19,806	22,187	12,000	8,000	
YoY	%	273%	135%	94%	96%	110%	-12%	-2%	-4%	55%	134%	-5%	16%	15%	12%	12%	12%	12%	
OPM	%	18%	25%	24%	21%	16%	22%	21%	19%	9%	21%	19%	19%	20%	20%	20%	18%	11%	
OP in other segments																			
New business development	JPYmn	1,012	1,893	2,651	3,216	1,012	1,643	2,401	2,966	6,831	8,772	8,022	8,400	8,700	9,000	9,300	6,500	8,000	
YoY	%	-3%	194%	7%	20%	0%	-13%	-9%	-8%	16%	28%	-9%	5%	4%	3%	3%	-5%	-9%	
Peripheral businesses	JPYmn	874	780	855	(1,683)	1,000	1,000	1,000	1,000	(1,615)	826	400	4,600	4,400	2,000	4,000	2,000	4,000	
YoY	%	240%	242%	13%	N/A	N/A	14%	28%	17%	-159%	N/A	N/A	384%	15%	4%	-5%	-5%	N/A	100%
Financial metrics																			
RoE	%									24%	19%	14%	14%	15%	15%	16%			
RoA	%									8%	8%	7%	8%	8%	8%	9%	12%	12%	12%
Equity-to-total assets	%									34%	42%	46%	48%	50%	54%	56%			
Net-debt (ex. contract liability)	JPYmn									64,896	35,666	17,226	3,769	(7,512)	(22,737)	(48,736)			
Net-debt (ex. contract liability)	x									0.36	0.15	0.11	0.07	(0.02)	(0.06)	(0.12)			
CF from operating activities	JPYmn									12,492	28,419	32,770	35,943	42,104	49,266	57,368			
CF from investing activities	JPYmn									60,902	2,552	(13,600)	(12,800)	(17,100)	(18,300)	(15,500)			
FCF	JPYmn									75,754	30,971	19,170	23,043	25,004	30,966	41,868			
CF from financing activities	JPYmn									(78,568)	(10,417)	(12,939)	(11,339)	(20,899)	(21,721)	(20,703)			
DPS	JPY/share									20	57	69	86	136	156	177			
Payout ratio	%									5%	15%	20%	25%	30%	30%	30%			

Exhibit 12: Tokyo Keiki: Earnings summary

Tokyo Keiki		26/3 1Q	26/3 2Q	26/3 3Q	26/3 4Q	27/3 1Q	27/3 2Q	27/3 3Q	27/3 4Q	3/2025	3/2026	3/2027E	3/2028E	3/2029E	3/2030E	3/2031E	3/2027E
		A	A	A	A	GSe	GSe	GSe	GSe	A	A	GSe	GSe	GSe	GSe	GSe	CoE
Revenue	JPYmn	10,548	13,877	15,323	21,438	10,968	14,774	17,551	25,342	57,650	61,186	68,635	71,134	80,560	91,321	99,649	68,300
YoY	%	21%	17%	12%	-8%	4%	6%	15%	18%	22%	6%	12%	4%	13%	13%	9%	12%
Operating profit	JPYmn	(326)	1,048	1,316	3,324	(479)	1,153	1,903	4,296	4,856	5,362	6,873	7,020	8,675	10,726	12,151	6,400
YoY	%	-32%	180%	14%	-13%	47%	10%	45%	29%	75%	10%	28%	2%	24%	24%	13%	19%
OPM	%	-3%	8%	9%	16%	-4%	8%	11%	17%	8%	9%	10%	10%	11%	12%	12%	
Net Income	JPYmn	(177)	1,016	900	2,266	(370)	872	1,442	3,263	3,797	4,005	5,206	5,318	6,577	8,138	9,223	5,000
Order backlog by segment																	
Marine systems	JPYmn	5,957	6,654	6,529	7,309	7,301	8,054	7,938	8,709	5,705	7,309	8,709	9,409	10,109	11,004	12,139	
Hydraulics and pneumatics	JPYmn	3,551	3,551	3,832	3,562	3,741	3,744	4,029	3,742	3,390	3,562	3,742	3,922	4,102	4,282	4,462	
Fluid measurement equipment	JPYmn	2,555	3,124	3,424	2,297	2,966	3,561	3,857	2,696	1,917	2,297	2,696	3,115	3,555	4,017	4,502	
Defense & communications equipment	JPYmn	43,000	45,003	46,070	43,235	43,967	46,176	46,192	40,713	43,246	43,235	40,713	49,518	55,228	56,549	54,777	
Sales by segment																	
Marine systems	JPYmn	3,140	3,125	3,690	3,720	3,705	3,375	3,985	4,035	12,529	13,675	15,100	16,500	17,200	17,900	18,600	14,800
Hydraulics and pneumatics	JPYmn	2,653	2,934	2,911	3,338	2,786	3,081	3,057	3,505	11,460	11,836	12,428	12,428	12,428	12,428	12,428	12,200
Fluid measurement equipment	JPYmn	830	923	1,540	2,117	872	969	1,617	2,223	5,019	5,410	5,681	5,965	6,263	6,576	6,905	5,500
Defense & communications equipment	JPYmn	3,327	6,056	6,300	10,332	3,000	6,500	8,000	13,626	24,394	26,015	31,126	31,241	40,169	50,117	57,416	31,100
Operating profit by segment																	
Marine systems	JPYmn	307	365	394	251	370	365	403	324	1,551	1,317	1,462	1,767	1,885	2,006	2,129	1,370
Hydraulics and pneumatics	JPYmn	(116)	106	47	185	(143)	131	58	228	197	222	274	322	368	411	453	280
Fluid measurement equipment	JPYmn	(146)	(11)	334	696	(137)	(2)	343	705	789	873	911	957	1,008	1,064	1,126	880
Defense & communications equipment	JPYmn	(254)	572	549	1,477	(451)	644	1,108	2,325	1,635	2,344	3,627	3,269	4,784	6,644	7,843	3,500
Operating profit margin by segment																	
Marine systems	%	10%	12%	11%	7%	10%	11%	10%	8%	12%	10%	10%	11%	11%	11%	11%	9%
Hydraulics and pneumatics	%	-4%	4%	2%	6%	-5%	4%	2%	7%	2%	2%	2%	3%	3%	3%	4%	2%
Fluid measurement equipment	%	-18%	-1%	22%	33%	-16%	0%	21%	32%	16%	16%	16%	16%	16%	16%	16%	16%
Defense & communications equipment	%	-8%	9%	9%	14%	-15%	10%	14%	17%	7%	9%	12%	10%	12%	13%	14%	11%
Other financial KPIs																	
RoE	%									9.7%	9.2%	10.8%	10.1%	11.4%	12.8%	13.0%	
Net income / sales	%									6.6%	6.5%	7.6%	7.5%	8.2%	8.9%	9.3%	
Sales / total assets	%									0.80	0.76	0.75	0.72	0.74	0.73	0.71	
Total assets / equity	%									1.83	1.85	1.88	1.89	1.89	1.97	1.98	
ROA	%									5.3%	5.0%	5.7%	5.3%	6.0%	6.5%	6.6%	
ROIC	%									6.8%	6.5%	7.2%	6.6%	7.5%	8.1%	8.2%	
Operating CF	JPYmn									(455)	(160)	520	8,117	(4,023)	(3,954)	1,067	
Investing CF	JPYmn									(4,025)	(5,153)	(3,998)	(2,650)	(2,650)	(2,650)	(2,650)	
FCF	JPYmn									(4,480)	(5,313)	(3,478)	5,467	(6,673)	(6,604)	(1,583)	
Financing CF	JPYmn									4,178	1,708	4,785	(838)	3,898	6,029	(1,459)	
Net debt	JPYmn									11,882	17,764	22,457	17,828	26,102	34,678	38,219	
Net debt / equity	x									0.29	0.38	0.44	0.32	0.43	0.52	0.51	
CCC	# months									8.3	8.4	8.9	8.7	9.8	10.8	11.3	

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Namura Shipbuilding Co.

Our 12-month target price of ¥5,600 is based on a target P/B of 2.6X applied to our end-FY3/30E BPS estimate, discounted back to FY3/27E using a cost of equity of 9.8%. Key risks include a sudden increase in production capacity in the shipbuilding industry, higher steel prices, production problems, and a decline in vessel prices.

Price Target Risks and Methodology - Mitsui E&S Co.

Our 12-month target price is ¥7,000. Using a Sum of the Parts (SOTP) model, we apply target P/E multiples of 10X-19X to our net profit estimates for each segment and the respective reference years we use for them, and discount the sum back to FY3/27 using a cost of equity of 9.8%. We apply a P/E of 19X on FY3/31E for marine propulsion systems, 14X on FY3/30E for logistics systems, 14X on FY3/28E for new business development, and 10X on FY3/28E for peripheral services. Key risks include a sharp increase in input costs, deterioration in container transport demand, production problems, and a decline in prices.

Price Target Risks and Methodology - Tokyo Keiki

Our 12-month target price is ¥8,800. The target price is derived applying a target P/E multiple of 23X on our FY3/31E EPS estimate and discounting the value back to FY3/27 using a cost of equity of 10%. Key risks include a deterioration in defense demand, a decline in shipping demand, and a decline in prices caused by competition and other relevant factors.

Investment Thesis - Namura Shipbuilding Co.

We are Buy-rated on Namura Shipbuilding, one of Japan's leading shipbuilders. Its main

business is the building of new commercial vessels, and it also carries out repairs and maintenance work for the Japanese Self-Defense Forces, the US Navy, and commercial shipping companies. We expect the importance of the Japanese shipbuilding industry to increase in the global shipbuilding industry against a backdrop of rising geopolitical risk. We look for an improvement in the supply/demand balance in Japan's shipbuilding industry, with a rapid increase in capacity unlikely, reflecting the prolonged slump that the industry has experienced, as well as structural factors such as a declining working population. We expect Namura Shipbuilding to generate steady operating profit growth from FY3/27E on the back of a steady increase in shipbuilding capacity at existing shipyards, as well as an improvement in order value per new vessel. We believe the current P/B valuation is not sufficiently incorporating such expectations.

Investment Thesis: Mitsui E&S

Mitsui E&S manufactures marine engines for general commercial vessels to Japanese shipbuilders, and cranes to port operators in Japan and overseas. For the shipbuilding industry as a whole, we expect growth in demand for replacement of aging vessels built in the 2000s, as well as an expansion in demand for alternative fuel-compatible vessels in response to environmental regulations. Momentum is also building in Japan for the revitalization of the Japanese shipbuilding industry from the perspective of economic security. For the company's marine propulsion systems segment, we assume both an increase in volume and improvement in unit prices on the back of better supply-demand as the construction volume of the Japanese shipbuilding industry increases over the medium to long term. In addition, for the logistics systems segment, we expect an increase in replacement demand for Chinese-made cranes operating mainly in US ports, and as a major non-Chinese manufacturer we look for Mitsui E&S to capture some of this demand. We forecast steady operating profit growth from FY3/26 onward, driven by top-line growth in these two core segments. We believe the current P/E valuation does not fully incorporate these expectations for earnings growth. Potential share price catalysts include new ship order trends for the overall Japanese shipbuilding industry, and order momentum for the company's marine engines and port cranes. We are Buy rated on the stock.

Investment Thesis - Tokyo Keiki

Tokyo Keiki is a manufacturer of defense components, such as radar receivers and navigation systems for jet fighters and naval vessels, and shipbuilding components, such as gyrocompasses and auto pilot systems for commercial vessels globally. We believe the market has not yet factored in the company's operating profit growth potential over FY3/26-3/31E driven by (1) potential profit growth in the defense & communications equipment segment as it benefits from greater demand for defense O&M as well as exports of its key end-applications (i.e. Mitsubishi Heavy Industries frigates for delivery to Australia), and (2) potential profit growth in the marine systems segment on steady growth in after-market service demand as well as a global recovery in shipbuilding. As we see sequential improvements in net margin in these businesses, we expect the company's ROE to improve meaningfully. We are Buy rated on the stock.

Disclosure Appendix

Reg AC

We, Norihiro Miyazaki and Ryohei Kurita, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Norihiro Miyazaki Goldman Sachs Japan Co., Ltd., Ryohei Kurita Goldman Sachs Japan Co., Ltd..

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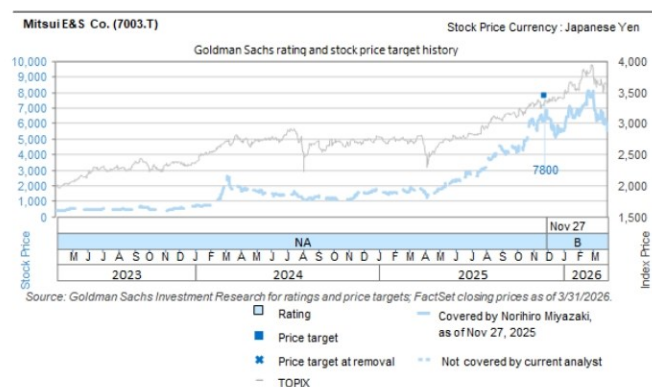
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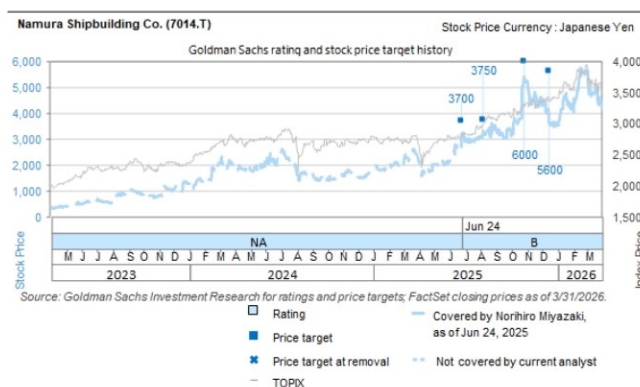
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	Buy	Hold	Sell		Buy	Hold	Sell
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Target price history table(s)

Mitsui E&S Co. (7003.T)

Date of report	Target price (¥)	Closing price (¥)
14-May-26	7,000	4,659
27-Nov-25	7,800	6,193

Namura Shipbuilding Co. (7014.T)

Date of report	Target price (¥)	Closing price (¥)
16-Dec-25	5,600	3,645
27-Oct-25	6,000	5,390
07-Aug-25	3,750	3,340
24-Jun-25	3,700	2,708

Tokyo Keiki (7721.T)

Date of report	Target price (¥)	Closing price (¥)
18-Jun-26	8,800	6,070

Price targets shown in table(s) are unadjusted for corporate actions.

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